

The Results Snapshot shows the performance for symmetrical triangles under varying market conditions and breakout directions. Performance is, well, awful. Performance ranks near the bottom of the list of chart patterns. Failures (not shown, but they are worse) rank near the bottom of the list, too.

Volume trends downward most of the time. Throwbacks and pullbacks appear as often in symmetrical triangles as they do in many other chart patterns (about 66% of the time). The percentage meeting the price target matches the average rise or decline, meaning it's awful, too. You can boost the success rate by cutting the pattern's height in half and using that. I'll explain that in Trading Tactics.

Is there nothing good I can write about symmetrical triangles? Yes! They are as plentiful as people not wearing masks during the Covid-19 pandemic. Not the rousing endorsement you expected, is it? Let's take a look at this pattern, and maybe we can learn what to avoid.

Tour

[Figure 66.1](#) shows an example of a symmetrical triangle. Price rises to the start of the triangle and makes a new high. Then price crosses the pattern from top to bottom, making lower highs and higher lows. After nearly 2 months, the trends are in place. A down-sloping trendline drawn along the tops connects the minor highs, whereas an up-sloping trendline on the bottom supports the minor lows.

Volume recedes although it is spiky in places. Price attempts to leave the triangle in late June but gets sucked back in. It tries again and, with higher volume, shoots out the top of the triangle but quickly throws back, curls around, and heads lower.

Why do symmetrical triangles form? Price zooms up, making higher highs on succeeding days. Eventually, selling pressure quenches demand for the stock and price turns down. Swing traders, sensing a change in trend, quickly sell their holdings, putting additional pressure on the stock. Price falls to a level where prior support set up by a peak months earlier or various other factors entices investors to view the stock as a bargain. The